d. Artificial Scarcities

Artificial scarcities created by activities like hoarding and speculative trading in commodities in the commodities future market, results in price hike.

e. Increase in Exports

Increase in export of a particular commodity leads to shortage of goods in the domestic market. It pushes up prices.

f. International Factors

International factors like oil price hike, shortage in production of certain commodities leads to higher import prices.

Effects of Inflation

Inflation has an impact on all the economic units. It has a favourable impact on some and unfavourable impact on others. The effects are discussed under three different heads as under:

1. Redistribution of Income and Wealth

It redistributes income from one hand to another. It leads to loss for a group of people and gain to another group of people.

a. Debtors vs Creditors

In case of debtor and creditor, debtor is gainer and creditor is